

‘He’ was the insurance agent the family had bought dud policies from for over twenty years. Now, my friend was in the process of shifting to a financial planner and was refusing to buy; the point at which a desperate Richa called me was when he had simply refused to leave their house till they bought a policy. He had invoked past relationships, threatened to tell her mother-in-law (I kid you not!).

I got on the phone and tried to discuss the policy he was selling, asking questions on returns and cover. It was a poor plan that gave a thin cover and returns that did worse than a bank FD. As I pushed back, he realized that his game was over. Probably mentally hurling abuses at me, he left. Richa now works with a planner and has finally moved the dud plans out of her portfolio.

I can recount story after story of the hard push of life-insurance products. Another lady was sold dud plans out of her retirement funds by an ex-student. A driver who worked with me some years back was sold a lemon by his past employer. The contractor who built my house says his bank manager each year makes him buy several three-year insurance plans.

Possibly the most difficult to say no to are the people you know very well. If you want to benefit somebody, give them money for nothing. Please don’t give this donation or charity respect by making it a financial transaction where you get something in return. In fact, you lose not just this money, but subsequent premiums to a product that does not work for you. You are harming your financial future and that of your family by doing this ‘charity’. You lose both the money and the relationship.

You need a life insurance cover for **only** one reason: ***to protect your family’s financial health if you die an untimely death.***

Shut your eyes for a moment and imagine not being there. Being dead. Seriously, do it. You may have seen your loved ones crying, coming to terms with you not being around. After the emotional trauma, you see the financial vulture land on the house.

You see your spouse wondering what will happen to them now that your salary that paid the EMI is gone. Will the car, also on an EMI, be returned too? Your teenage kids are grown up enough to realize that their plans to go abroad are suddenly only a dream. Work may have to begin much earlier than they